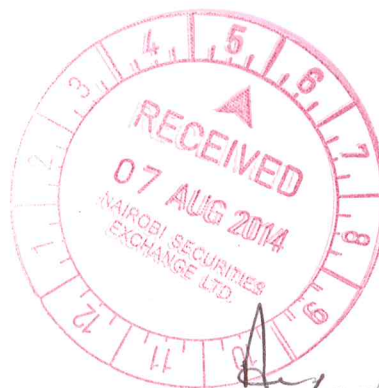




August 7th, 2014

The Chief Executive
Nairobi Securities Exchange
55 Westlands Road
NAIROBI



Dear Sir

PAN AFRICA INSURANCE HOLDINGS LIMITED

We write to advise you as follows:

- a) Unaudited Financial Results for the Half Year ended 30th June 2014:

The Board of Directors of Pan Africa Insurance Holdings Limited has approved the unaudited financial results for the half year ended 30 June 2014.

- b) Changes on the Board of Directors:

Mr Wikus Oliver and Mr John Burbidge will be replacing Mr Tom Wixley and Mr Themba Gamdeze, respectively, on the Board. In addition, Mr Baloobhai Patel will be an alternate Director to Mr Rohan Patel.

We enclose, for your information, an advance copy of the press announcement which will be published in the Daily Nation and Standard on Friday, 8 August 2014.

Kindly acknowledge receipt on the duplicate of this letter.

Yours faithfully

Emma Wachira
Company Secretary

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Pan Africa Insurance Holdings Limited

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Directors: JPN Simba (Chairman) • MM Dawes** • BK Gamedze** • JP Wrench** • JN Gitoho • S Mudhune • TM Gitogo (Chief Executive) • BC Patel • T Wixley**
**South African

Pan Africa Insurance Holdings Limited

Unaudited Group Financial Results for the Six Months to 30 June 2014

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SMS hotline: 30182



1 Introduction

The Board of Directors of Pan Africa Insurance Holdings Limited (PAIHL) is pleased to announce the Group's unaudited results for the half year to 30 June 2014.

2 Key Features

- Profit before tax of Kshs 495m (June 2013: Kshs 859m)
- Total assets of Kshs 23b, up 27% from Kshs 18b last year
- Group EV up by 15% to Kshs 5.75b (June 2013: Kshs 4.97b)
- Capital Adequacy Requirement (Solvency) covered 4.79 times (June 2013: 4.18 times)
- Value of New Business is at Kshs 112m (June 2013: Kshs 144m)

3 Accounting policies

The Group's accounting policies comply with International Financial Reporting Standards (IFRS) as well as the Kenya Companies Act. These policies are consistent with those applied in prior years.

4 The Economic Environment

The IMF World Economic Outlook (April 2014) projects the Kenyan GDP will grow by 6.3% in 2014 compared to 5.6% achieved in 2013. The Kenya National Bureau of Statistics in its First Quarter 2014 GDP Release estimates that the Kenyan economy expanded by 4.1% in the first quarter of 2014 compared to 5.2% during the same quarter of 2013.

The NSE share index at 4,885 on 30 June 2014 is 1% lower than the December 2013 closing index of 4,927. Inflation rose slightly to 7.39% in June 2014 compared to 7.15% in December 2013. Short term interest rates have remained relatively stable with the 91 Treasury bills rate in June 2014 rising slightly from 9.727% in December 2013. The Kenya shilling has remained fairly stable against all major international currencies.

5 Financial Overview

The Group profit before tax at Kshs 495m declined from Kshs 859m reported in June 2013. This is mainly attributable to significant unrealised gains on equity investments recognised in investment return on shareholders' assets in the comparable 2013 period.

Analysis of Earnings

	Six Months to 30 Jun 14 Kshs: M	Six Months to 30 Jun 13 Kshs: M
Operating surplus	274	315
Investment return on shareholders' assets	221	544
Profit before tax	495	859
Tax	(104)	(59)
Net surplus for the period	391	800

The operating surplus decreased by 13% to Kshs 274m (June 2013: Kshs 315m), attributable to lower property sales in the first six months of 2014. Volatility in operating profit is a normal feature of this line of business.

Our core Life Business performed well with its operating profit increasing by 18% to Kshs 175m. Gross premium at Kshs 2.8b is up 30% compared to the same period in 2013. Policy benefits grew by 47%, mainly due to our growing annuity book. We expect this trend to continue for the remainder of the year. Value of New Business declined by 22%, with pressure on annuity and individual life margins in a highly competitive market.

Pan Africa Asset Management also delivered good growth in operating profit in the first six months of 2014.

New product launches are high on our agenda for the remainder of the year. We have already launched a retrenchment and life cover product in partnership with a leading bank, with other exciting new products following soon.

6 Dividends

Consistent with the company's dividend policy, the Board does not recommend the payment of an interim dividend.

7 Change in the Board of Directors

Wikus Olivier and John A Burbidge will be replacing Tom Wixley and Themba Gamedze as directors at Pan Africa Insurance Holdings Ltd and Pan Africa Life Assurance Ltd. In addition, Balooobhai Patel becomes an alternate director to Rohan Patel. These changes in directorship are subject to regulatory approval.

8 Looking ahead

In line with our strategic thrusts, we continue to look at new alternative business channels, particularly in the entry market space, that will complement our existing business offerings, while improving efficiency and cost management. We have now completed the implementation of our new administration system, which will enable us to provide superior service to our clients. Construction of our new Head Office development along Waiyaki way will commence in the fourth quarter of the year.

9 For and on behalf of the Board

JPN Simba (Chairman)
TM Gitogo (Chief Executive)

Directors

JPN Simba, MM Dawes*, TM Gitogo, S Mudhune, R Patel, ML Olivier*, JA Burbidge**, J Wrench*

*South African, **British

Group Statement of Comprehensive Income

	6 Months to 30 June 2014 Kshs:000	6 Months to 12 Months to 30 June 2013 Kshs:000	31 Dec 2013 Kshs:000
Gross written premium	2,777,769	2,134,460	5,324,099
Outward reinsurance premium	(152,896)	(147,990)	(222,272)
Net written premium	2,624,873	1,986,470	5,101,827
Investment income	1,022,586	729,079	1,534,084
Fair value gains	186,445	713,538	1,168,709
Fee and commissions earned	36,619	24,421	52,680
Other operating income (including property)	168,121	216,494	685,054
Other revenue	1,413,771	1,683,532	3,440,527
Total income	4,038,644	3,670,002	8,542,354
Gross benefits and claims paid	(1,385,455)	(940,249)	(2,258,375)
Reinsurers' share of claims	65,470	39,961	115,711
Net change in contract liabilities	(1,358,322)	(1,132,319)	(3,131,674)
Net claims and policyholders benefits	(2,678,307)	(2,032,607)	(5,274,338)
Cost of sales	(13,608)	(16,670)	(68,775)
Commission payable	(383,962)	(320,057)	(724,477)
Operating and other expenses	(468,182)	(441,106)	(960,408)
Total benefits, claims and other expenses	(3,544,059)	(2,810,440)	(7,027,998)
Profit before share of profit of associate	494,585	859,562	1,514,356
Share of profit of associate	-	-	2,088
Profit before tax	494,585	859,562	1,516,444
Income tax expense	(103,791)	(59,384)	(266,012)
Profit after tax	390,794	800,178	1,250,432
Other comprehensive income	-	-	2,747
Other comprehensive income	-	-	2,747
Total profit and other comprehensive income	390,794	800,178	1,253,179
Profit attributable to:			
Equity holders of the parent	390,794	800,178	1,253,179
Earnings per share			
Basic	4.07	8.34	13.05
Diluted	4.07	8.34	13.05
Shares used for calculating earnings per share	96,000,000	96,000,000	96,000,000

Group Statement of Financial Position

	30 June 2014	30 June 2013	31 Dec 2013
CAPITAL AND RESERVES			
Share capital	480,000	480,000	480,000
Share premium	124,431	124,431	124,431
Statutory reserve	1,467,784	1,023,710	1,274,251
Retained earnings	1,225,022	1,512,886	1,459,761
Total capital and reserves	3,297,237	3,141,027	3,338,443
LIABILITIES			
Intangible assets	108,146	92,545	123,459
Property and equipment	129,020	128,290	114,749
Investment property	915,010	820,000	922,282
Investments in associate	15,919	11,614	15,919
Deferred tax	23,942	-	28,050
Loans	1,034,459	995,890	1,006,619
Held to maturity financial assets	5,810,277	4,170,586	5,536,053
Available for sale financial assets	-	3,827	-
Fair value through profit or loss financial assets	9,063,396	6,700,088	8,181,718
Reinsurance assets	101,809	197,349	101,809
Land and development (Inventory)	133,466	119,212	145,709
Insurance receivables	234,612	39,270	31,143
Income tax receivable	46,708	47,110	159,290
Receivable and other financial assets	258,527	411,185	102,610
Deposits with financial institutions	4,578,941	4,348,830	4,505,266
Cash and bank balance	526,473	82,190	182,831
Total assets	22,980,705	18,167,986	21,157,507
LIABILITIES			
Insurance contract liabilities	7,846,713	5,566,567	6,868,452
Market linked insurance liabilities	8,449,844	7,467,622	8,069,684
Payable under deposit administration contracts	1,520,957	1,190,203	1,355,921
Deferred tax	435,229	-	382,275
Provisions	46,834	56,813	56,418
Current tax liability	31,038	59,384	9,972
Insurance payables	494,829	252,605	343,199
Payables and other charges	858,024	433,765	733,143
Total liabilities	19,683,468	15,026,959	17,819,064

Group Statement of Changes in Equity

	30 June 2014	30 June 2013	31 Dec 2013
Share capital and Share premium	604,431	604,431	604,431
Opening reserves	2,734,012	2,024,418	1,768,833
Income attributable to shareholders	390,794	800,178	1,253,179
Dividend payout	(432,000)	(288,000)	(288,000)
Balance as at 30 June 2014	3,297,237	3,141,027	3,338,443

Abridged Statement of Cash Flows

	6 Months to 30 June 2014	6 Months to 12 Months to 30 June 2013	31 Dec 2013
Cash flow from operating activities	1,692,950	574,829	2,665,915
Cash utilised in investing activities	(843,633)	(308,817)	(2,118,577)
Cash utilised in financing activities	(432,000)	(288,000)	(312,250)
Net increase/decrease in cash resources	417,317	(21,988)	235,088
Cash resources at the beginning of the period	4,688,097	4,453,009	4,453,009
Cash resources at the end of the period	5,105,414	4,431,021	4,688,097

Group Embedded Value

The embedded value represents an estimate of the value of the group. It excludes the value attributable to minority interests and goodwill attributable to future new business.

The embedded value comprises:

- the value of the shareholders' equity net of the cost of the Capital Adequacy Requirement (CAR) and,
- the value of the in-force business.

The value of the in-force is the present value of future profits arising from business in force at the valuation date, discounted at the risk discount rate.

	6 Months to 30 June 2014 Kshs:000	6 Months to 30 June 2013 Kshs:000	12 Months to 31 Dec 2013 Kshs:000
Embedded value results			
Shareholders' equity, excluding goodwill	3,729,238	3,141,199	3,335,695
Fair value adjustments to net assets	252,893	642,090	431,484
Deferred tax adjustment on net assets	-	(307,113)	18
Net value of in-force	1,772,768	1,498,477	1,574,942
Gross value of in-force	2,958,713	2,503,345	2,728,504
Tax provision	(887,614)	(751,003)	(818,551)
Cost of CAR	(298,331)	(253,865)	(335,011)
Embedded value at end of period	5,754,899	4,974,653	5,342,139

Embedded value earnings

Embedded value at end of period	5,754,899	4,974,653	5,342,139
Embedded value at beginning of period	5,342,139	4,494,557	4,494,557
Change in embedded value	412,760	480,096	847,582
Dividends paid	-	288,000	288,000
Embedded value earnings	412,760	768,096	1,135,582

These earnings can be analysed as follows:

	146,934	137,802	292,852
Roll forward			
Investment return on free assets	18,316	22,748	53,347
Expected return on life business in force	128,618	115,054	239,505
Change in the period	265,826	630,294	842,730
Value of New Business at end of period	116,884	149,991	316,783
Value at point of sale (gross of tax)	186,635	217,111	475,264
Tax on value at point of sale	(55,990)	(65,133)	(142,579)
Cost of capital on New Business	(18,140)	(7,232)	(39,819)
Expected return to end of period	4,379	5,245	23,917
Change in assumptions and methodology	61,435	30,721	18,050
Experience variations	15,973	(108,642)	(166,080)
Increase in NAV on unlisted investments	131,600	490,000	859,000
Increase/decrease in NAV for other subsidiaries and associates	(60,066)	68,224	(185,023)
Total earnings	412,760	768,096	1,135,582
Value of New Business at point of sale	112,504	144,746	292,865
Recurring premium	50,510	51,322	101,710
Single premium	80,134	100,656	230,974
Cost of CAR	(18,140)	(7,232)	(39,819)
Value of New Business at point of sale	112,504	144,746	292,865
Individual Life Business	33,952	44,368	82,457
Corporate Business	96,693	107,610	250,228
Cost of CAR	(18,140)	(7,232)	(39,819)

Assumptions

The main assumptions used are as follows:

	% p.a	% p.a	% p.a
1. Economic assumptions			
Risk discount rate	16.5	15.3	17.0
Overall investment return	11.6	10.5	12.4
Expense inflation rate	8.5	7.3	9.0

2. Other assumptions

The assumptions for future mortality, persistency and premium escalation were based on recent experience adjusted for anticipated future trends.

Notes

a) Changes in assumptions and methodology

	2014	2013	2012
Expenses	101,454	21,341	60,904
Mortality	(39,469)	131,964	18,910
Persistency	23,394	183	-
Data and methodology changes	24,979	(123,667)	(96,296)
Total operational	110,358	29,821	(16,482)
Investment return	(90,133)	(84,929)	34,532
Risk discount rate	41,210	85,829	-
Total	61,435	30,721	18,050

b) Experience variations

	2014	2013	2012
Mortality and morbidity	(24,502)	54,593	96,420
Persistency	(21,800)	(86,139)	(223,844)
Expenses and commission	(29,265)	(54,629)	10,716
Tax variations	(409)	(6,804)	(16,003)
Other variances	(8,663)	50,284	(107,049)
Total operational	(84,670)	(42,695)	(239,760)
Investment variances	100,643	(65,947)	73,680
Total	15,973	(108,642)	(166,080)